government needs to study the PPP experience and build some central capacity to help ministries, authorities, and states structure contracts and renegotiate troubled ones.

STATE DISCOMS

The government in September 2012 approved the scheme for Financial Restructuring of State Distribution Companies (Discoms). The salient features of the scheme are as follows:

i. 50 per cent of the outstanding short-term liabilities up to 31 March 2012 to be taken over by state governments. This shall be first converted into bonds to be issued by Discoms to participating lenders, duly backed by state government guarantee.

ii. Takeover of liability by state governments from Discoms in the next two to five years by way of special securities and repayment and interest payment to be done by state governments till the date of takeover.

iii. Restructuring the balance 50 per cent short-term Loan by rescheduling loans and providing moratorium on principal.

iv. The restructuring/reschedulement of loan is to be accompanied by concrete and measurable action by the Discoms/ states to improve their operational performance.

vi. The GoI will provide incentive by way of grant *equal to the value* of the additional energy saved by way of accelerated AT&C loss reduction beyond the loss trajectory specified under the RAPDRP and capital reimbursement support of 25 per cent of principal repayment by the state governments on the liability taken over by the state governments under the scheme.

ECONOMIC SURVEY 2012-13 ON INFRASTRUCTURE